NATIONAL COMPANY LAW TRIBUNAL
CHANDIGARH BENCH (COURT-II), CHANDIGARH

CP (CAA) No. 44/Chd/Hry/2023
(2nd Motion)
connected with
CA(CAA) No. 11/Chd/Hry/2023
(1st Motion)

Under Sections 230 to 232 and other applicable provisions of the Companies Act, 2013 read with the Companies (Compromises, Arrangements and Amalgamation) Rules, 2016

IN THE MATTER OF SCHEME OF ARRANGEMENT OF:

1. **DLF CITY CENTRE LIMITED**
   (CIN: U70102HR2008PLC084410) (PAN: AACCD9372R)
   Having its registered office at
   11th Floor Gateway Tower, DLF City, Phase-III,
   Gurugram-122002, Haryana
   …Petitioner No.1/Transferor Company No.1

2. **DLF LANDS INDIA PRIVATE LIMITED**
   (CIN: U70102HR2007PTC036798) (PAN: AADCB4488K)
   Having its registered office at
   DLF Gateway Tower, First Floor, R Block, DLF City, Phase-III,
   Gurugram-122002, Haryana
   …Petitioner No.2 /Transferor Company No. 2

3. **DLF INFO CITY DEVELOPERS (KOLKATA) LIMITED**
   (CIN: U45202HR2004PLC035288) (PAN: AABCD9621N)
   Having its registered office at
   10th Floor, Gateway Tower, Phase-III,
   Gurugram-122002, Haryana
   … Petitioner No.3/ Transferor Company No. 3

4. **DLF EMPORIO LIMITED**
   (CIN: U74920HR1999PLC034168) (PAN: AACCR0093B)
   Having its registered office at
   Shopping Mall, Phase-I, DLF City,
   Gurugram-122002, Haryana
   … Petitioner No.4/ Transferor Company No. 4

5. DLF ASSETS LIMITED
(CIN: U45201HR2006PLC096585) (PAN: AACCD4923A)
Having its registered office at
11th Floor, Gateway Tower
DLF City, Phase-III
Gurugram-122002, Haryana

... Petitioner No.5 /Demerged Company

6. DLF CYBER CITY DEVELOPERS LIMITED
(CIN: U45201HR2006PLC036074) (PAN: AACCD3572H)
Having its registered office at
10th Floor, Gateway Tower, Phase-III
Gurugram-122002, Haryana

... Petitioner No.6 /Transferee Company

Order delivered on: 19.02.2025

Coram: HON'BLE HARNAM SINGH THAKUR, MEMBER (JUDICIAL)
HON'BLE UMESH KUMAR SHUKLA, MEMBER (TECHNICAL)

Present:

For the Petitioner Companies	:	Dr. U.K. Chaudhary, Senior Advocate with Mr. Pulkit Goyal, Ms. Manisha Chaudhary, Mr. Mansumyer Singh and Ms. Manisha Sharma, Advocates
For the Income Tax Department	:	Mr. Varun Issar, Senior Standing Counsel
For the Official Liquidator	:	Mr. Edward Augustine George, Advocate

Per: Mr. Harnam Singh Thakur, Member (Judicial)
Mr. Umesh Kumar Shukla, Member (Technical)

JUDGMENT

This 2nd Motion Joint Company Petition (hereinafter referred to as the "**Petition**") has been filed under Sections 230 to 232 and other applicable provisions of the Companies Act, 2013 (hereinafter referred to as the "**Act**") read with the Companies (Compromises, Arrangements and Amalgamation) Rules, 2016 (hereinafter referred to as the "**CAA Rules**") by the DLF City

Centre Limited (hereinafter referred to as the "**Petitioner No. 1**" or "**Transferor Company No. 1**"), DLF Lands India Private Limited (hereinafter referred to as the "**Petitioner No. 2**" or "**Transferor Company No. 2**"), DLF Info City Developers (Kolkata) Limited (hereinafter referred to as the "**Petitioner No. 3**" or "**Transferor Company No. 3**"), DLF Emporio Limited (hereinafter referred to as the "**Petitioner No. 4**" or "**Transferor Company No. 4**"), DLF Assets Limited (hereinafter referred to as the "**Petitioner No. 5**" or "**Demerged Company**") and DLF Cyber City Developers Limited (hereinafter referred to as the "**Petitioner No. 6**" or "**Transferee Company**") to obtain sanction of this Tribunal to the Scheme of Arrangement of Amalgamation of Transferor Company No. 1, Transferor Company No. 2, Transferor Company No. 3 and Transferor Company No.4 with the Transferee Company; and also demerger and vesting of three IT/ITES SEZ Undertakings namely Silokhera SEZ, Hyderabad SEZ and Chennai SEZ (hereinafter referred to as "**Demerged Undertakings**") of the Demerged Company into the Transferee Company (hereinafter referred to as the "**Scheme**"). The copy of the Scheme is annexed as Annexure- A-1 to the Petition.

2. The Petitioner Companies had filed First Motion Joint Company Application bearing CA (CAA) No.11/Chd/Hry/2023 before this Tribunal for seeking directions for dispensing with the requirement of convening of meetings of Equity Shareholders, Preference Shareholders, Secured and Unsecured Debenture Holders, Secured Creditors and Unsecured Creditors of the Petitioner Companies, which was allowed and disposed of vide Order dated 29.08.2023, with the directions to dispense with the requirement of

convening of meetings of above stakeholders of the Petitioner Companies for the reasons mentioned in the aforesaid order. A copy of the said order has been attached as Annexure A-30 of the Petition.

3. In the second motion proceedings, this Tribunal vide Order dated 01.03.2024, issued the following directions to the Petitioner Companies:

(i) Publish the notice of hearing in the newspapers namely "Financial Express" (English, Haryana and Delhi NCR Edition) in English language and "Dainik Bhaskar" (Hindi, Haryana and Delhi NCR Edition) in Hindi language.

(ii) Serve the notice of the Petition on the:

(a) Central Government through Regional Director (Northern Region), Ministry of Corporate Affairs; New Delhi (hereinafter referred to as the "**RD**");

(b) Registrar of Companies, NCT of Delhi and Haryana (hereinafter referred to as the "**RoC**");

(c) Official Liquidator, Punjab & Haryana, Chandigarh (hereinafter referred to as the "**OL**");

(d) Income Tax Department through Nodal Officer-Principal Commissioner of Income Tax, Chandigarh (hereinafter referred to as the "**ITD**");

(e) Haryana Real Estate Regulatory Authority (hereinafter referred to as the "**HRERA**") and such other Real Estate Regulatory Authorities, where the projects of the Petitioner Companies are located (hereinafter referred to as the "**Other RERAs**");

(f) BSE Limited (hereinafter referred to as the "**BSE**");

(g) Development Commissioner, Madras Export Processing Zone (hereinafter referred to as the "**MPEZ**");

(h) Development Commissioner, Visakhapatnam Special Economic Zone (hereinafter referred to as the "**VSEZ**");

(i) Development Commissioner, Noida Special Economic Zone (hereinafter referred to as the "**NSEZ**");

(j) Such other Sectoral Regulatory Authorities, if any applicable, who are likely to be affected by the Scheme (hereinafter referred to as the "**Other Regulators**");

(k) All government authorities, to whom any statutory dues or development charges are payable as per books of accounts of the Petitioner Companies;

(l) Objector(s) or to their representatives, if any to whom the notices were issued in compliance of para 27(VIII)(b) of the first motion order dated 29.08.2023, who may have made representation and who have desired to be heard in their representation.

(iii) File an affidavit of service regarding newspaper publication with newspaper clippings as well as service of notices on the authorities/ persons specified above.

(iv) File an affidavit stating the objections received from the public pursuant to publication of notice of hearing in the newspapers.

4. In compliance of this Tribunal Order dated 01.03.2024, the Petitioner Companies filed an affidavit dated 25.04.2024, vide Diary No. 03472/01 dated 01.05.2024, stating that:

(i) The notice of hearing of the Petition was published in the newspapers, "Financial Express" (English), and "Dainik Bhaskar" (Hindi), both Haryana and Delhi NCR Edition on 10.04.2024. The original clippings of the newspapers have been enclosed as Annexure 1 (Colly) of the affidavit.

(ii) The notice of the Petition was served to the following statutory authorities/ regulators:

S. NO.	NOTICE TO STATUTORY AUTHORTIES	DATE OF SENDING NOTICE
1.	Central Government through Regional Director (Northern Region), Ministry of Corporate Affairs, New Delhi	06.03.2024
2.	Official Liquidator attached to Punjab & Haryana High Court	06.03.2024
3.	Registrar of Companies, NCT of Delhi and Haryana	06.03.2024
4.	Income Tax Authorities through the Nodal Officer - Principal Commissioner of Income Tax, NWR, Aayakar Bhawan, Sector-17-E, Chandigarh.	06.03.2024
5.	The Haryana Real Estate Regulatory Authority, New PWD Rest House, Civil Lines, Gurugram, Haryana by Transferee Company.	06.03.2024
6.	BSE Limited, Phiroze Jeejeebhoy Towers, Dalal Street, Mumbai-400 001 by the Transferee Company.	06.03.2024
7.	Development Commissioner of Special Economic Zones, Madras Export Processing Zone, Special Economic Zone, Administrative	06.03.2024

	Building, GST Road, Tambaram, Chennai-600045, Tamil Nadu by Demerged Company.	
8.	Development Commissioner of Special Economic Zones, Visakhapatnam Special Economic Zone (VSEZ), DLF SEZ Office, Gachibowli, Seringampalli Mandal, Ranga Reddy District, Hyderabad-500032, Andhra Pradesh by Demerged Company.	06.03.2024
9.	Development Commissioner of Special Economic Zones, Noida Special Economic Zone, Noida-Dadri Road, Phase-II, District-Gautam Budh Nagar, Noida, 201305, Uttar Pradesh by Demerged Company.	06.03.2024
10.	Assistant Commissioner of Income-Tax, Circle 7(1), C R Building, I P Estate, New Delhi-110002 by Demerged Company.	06.03.2024
11.	Deputy/Assistant Commissioner of Income-Tax, Circle- 1 (1), HSIIDC Building, Vanijya Nikunj, Udyog Vihar, Phase V, Gurugram-122001 by Transferee Company.	06.03.2024
12.	Income-tax Officer, Ward 7(1), C R Building, I P Estate, New Delhi-110002 by Transferor Company No. 1.	06.03.2024
13.	Deputy/Assistant Commissioner of Income-tax, Circle- 1 (1), HSIIDC Building, Vanijya Nikunj, Udyog Vihar, Phase V, Gurugram-122001 by Transferor Company No. 2.	06.03.2024
14.	Income Tax Officer, Ward- 1 (4), HSIIDC Building, Vanijya Nikunj, Udyog Vihar, Phase V, Gurugram-122001 by Transferor Company No. 3.	06.03.2024
15.	Assistant Commissioner of Income Tax Department, Income-tax, Circle 7(1), C R Building, I P Estate, New Delhi-110002 by Transferor Company No. 4.	06.03.2024

The copies of letters along with original dispatch proofs are annexed with the affidavit as Annexure- A-2 (Colly).

5. Subsequently, the Petitioner Companies filed an affidavit dated 08.08.2024, vide Diary No. 03472/02 dated 10.08.2024 enclosing therewith the tracking reports/ acknowledgement of delivery of above letters as Annexure A-1 (Colly).

6. With regard to direction of this Tribunal vide its Order dated 01.03.2024 regarding notices to the statutory authorities/ regulators etc., the status of replies has been discussed in the following paragraphs.

(I) RD/ RoC

7. The RD, vide Dairy No 03472/2 dated 03.05.2024, filed its report dated 30.04.2024 enclosing therewith the report of the RoC dated 23.04.2024, which was taken on record vide this Tribunal Order dated 12.07.2024. Besides the general observations, the RD report referred in para 10 to the observations of the RoC vide their letter dated 23.04.2024 and in para 11 has mentioned the reply to the RoC observations by the Petitioner Companies vide their letter dated 25.04.2024, which are summarized in the table below:

S. N.	Observations of RD/RoC	Reply of the Petitioner Companies
i.	The proposed Scheme does not contain the copy of the separate schedule of assets and liability. Hence, the company may be asked to provide the same. Also, it is not clear that the Demerged undertaking is vesting with the Resulting Company. Hence, the company may be asked to clarify the same.	The Petitioner Companies No.1 to 6 have filed Schedule of property as Annexure A-19 in the First Motion petition. Pursuant to Part E of the Scheme, the entire business of Demerged undertaking namely three SEZ undertakings i.e. Silokhera SEZ, Hyderabad SEZ and Chennai SEZ of the Demerged Company shall without any further act, deed, instrument, matter or thing stand demerged and vested in the Transferee Company on a going concern basis at book value pursuant to the provisions of Section 230 to 232 of the Act.
ii.	The NCLT vide its order dated 29.08.2023 through company application CA(CAA) No. 11/CHD/HRY/2023 had dispensed the meeting of the Debenture holder of the Applicant Company no. 03, 05 and 06 and unsecured creditors of all the Applicant Companies subject to strict	That NCLT vide its order dated 29.08.2023 directed all the companies to file its list of creditors as on the date of order and also to serve notices upon their creditors as on the date of passing of the order having outstanding debt amounting to not less than 5% of total outstanding debt of the respective company and to all the Debenture Holder of Applicant Company No. 6 and to the Statutory Authority. The compliance of the said order has been filed

S. N.	Observations of RD/RoC	Reply of the Petitioner Companies
	compliance of the conditions laid down at para 27(viii) of the order. Hence, the Company may be asked to ensure the compliance of the said conditions.	within the stipulated time frame through an affidavit dated 11.09.2023 having Diary No.00637/2 dated 13.09.2023 and Diary No.00637/3 dated 22.09.2023. Thereafter, the Petition was jointly filed by Petitioner Companies on 18.10.2023.
iii.	As per Audited Financial Statements of the Transferor Company No. 02 for the FY ended 31.03.2023, it is seen that the company has nil revenue from its operation since the last two years. Hence, it appears to be dormant under section 455 of the Companies Act, 2013.	The provisions of Section 455 of the Companies Act are not attracted, as the Transferor Company No. 2 is engaged in active business operations. The concerned Transferor Company has filed its annual return and financial statements till the financial year ended on 31.03.2023 and there is no default in this regard. However, there is no revenue from operations from the financial year 2021-22.
iv.	In case of Transferor Company No. 3 & 4, Demerged Company and Transferee Company, the auditor has stated in the audit report for the FY ended 31.03.2023 that they have not paid certain statutory dues on account of dispute and the cases for the same are being pending before their respective authority.	Certain matters are pending under challenge before the respective authority(ies) and the same will be dealt with in accordance of law. The Transferee Company and Demerged Company shall continue to exist, and all legal proceedings of the Transferor Company(ies) and that of Demerged Company pertaining to the SEZ undertakings being demerged, may be continued/ dealt with by the Transferee Company accordingly.
v.	In case of Demerged Company and Transferee Company, the auditor has stated 'Emphasis of matter' in the audit report for the FY ended 31.03.2023. Hence, the same may be clarified from the Company.	The auditors have mentioned certain pending legal cases, which are sub-judice before the Courts/Regulatory Authorities. The concerned companies have taken appropriate legal action/steps.
vi.	In case of Demerged Company and Transferee Company, the auditor has stated in the auditor report for the FY ended 31.03.2023 that the Company has granted loans and advances to other parties. Hence, the Company may be asked to ensure the compliance after provisions of	Inter-corporate loans are given from time to time in the normal course of business in compliance with the provisions of the Companies Act, 2013. All necessary compliances as required under the provisions of the Companies Act 2013 including filing of the statutory forms have been complied with, wherever applicable. No loan has been given, which is in contravention of Section 185 of the Act. Also, all necessary approvals have been

S. N.	Observations of RD/RoC	Reply of the Petitioner Companies
	the sections 185 and 186 of the Companies Act, 2013.	taken.
vii.	In case of Transferee Company, the auditor has stated in the audit report for the FY ended 31.03.2023 that the Company has not paid certain statutory dues on account of dispute and the cases for the same are pending before the respective authority.	Certain matters are pending and under challenge before the respective authority(ies) and the same will be dealt in accordance with law. The Transferee Company shall continue to exist and all legal proceedings will be continued/dealt with by the Transferee Company accordingly.
viii.	Transferee Company may kindly be directed to comply with the provisions of Section 232(3)(i) of the Companies Act, 2013 in regard to fee payable on its revised authorized share capital.	Upon the Scheme coming into effect and with effect from the appointed date, the authorized share capital of the Transferee Company shall automatically stand increased by merging the authorized share capital of the Transferor Company No.1 to 4 with the Transferee Company without any further act or deed on the part of the Transferee Company. The provisions of Section 4, 5, 13, 14, 61, 62 & other applicable provisions, if any, of the Companies Act, 2013 read with rules made there under or any other applicable provisions of the Act in relation to increase in authorised share capital of the Transferee Company shall be deemed to have been complied with and the Transferee Company is not required to do any further act/deed or things in this regard. The filing fees and stamp duty already paid by Transferor Companies on the authorized share capital shall be utilized and applied for the increased share capital of the Transferee Company and shall be deemed to have been so paid by the Transferee Company on such combined authorized share capital and accordingly, the Transferee Company shall not be required to pay any fees/stamp duty on the authorized share capital so increased. Though the Transferor Company and Transferee Company respectively already paid requisite fee for the authorized share capital existing in the companies, however, the Transferee Company would pay additional requisite fee and stamp duty, if any, required to be paid on the increase of authorized share capital, post the scheme

S. N.	Observations of RD/RoC	Reply of the Petitioner Companies
		coming into effect, in accordance with the applicable laws. The Transferee Company undertakes to comply with the provisions of the Section 232(3)(i) of the Companies Act, 2013.

8. The Petitioner Companies, vide Diary No. 03472/11 dated 06.08.2024, filed their Reply Affidavit Cum Undertaking dated 03.08.2024 to the RD report, which was taken on record vide this Tribunal Order dated 04.10.2024. It is stated in the Reply Affidavit that there are no objections to the Scheme in representation/ affidavit filed by the Ld. RD. However, in para 10 of the representation/ affidavit, the Ld. RD had made certain observations vide letter dated 23.04.2024, which were received by the Petitioner No. 1 to 6 vide email dated 24.04.2024. In response, the Transferee Company on behalf all the Petitioner Companies vide reply letter dated 25.04.2024 has given detailed reply to the observations made by the Ld. RD. The said reply filed by the Transferee Company was duly received and taken on record by the Ld. RD. Further, the Ld. RD in para 11 of the representation/ affidavit before this Tribunal, has reproduced the reply of the Transferee Company. Pursuant thereto, the Ld. RD has neither made any further observations nor raised any objections to the sanction of the Scheme and appears to be satisfied with the reply of the Petitioner Companies. Apart from the above, the Transferee Company undertakes to comply with all applicable laws and to discharge all legal liabilities, as and when the same falls due and payable in accordance with law.

9. During the course in the hearing dated 04.10.2024, Mr. Vineet Khatri, learned Company Prosecutor, for the RD was directed to seek clear

instructions from the RD that whether they are satisfied with the reply filed by the Petitioner Companies or not, failing which, RD may be directed to be present either physically or through hybrid mode on the next date of hearing.

10. However, no further submission was made by or on behalf of the RD. In view of the above, it is deemed that RD/ RoC have no objection to the Scheme and we proceed further in the matter.

(II) OL

11. The OL filed its report dated 01.05.2024 vide Dairy No. 03472 dated 01.05.2024, which was taken on record vide this Tribunal Order dated 12.07.2024. Besides the general observations, the OL Report, in para 21 contains certain observations. The Petitioner Companies filed its Reply/Affidavit dated 03.08.2024 to the OL Report vide Diary No. 03472/10 dated 06.08.2024, which was taken on record vide this Tribunal Order dated 04.10.2024. The observation in OL report and its reply by the Petitioner Companies are shown in the Table below-

S. N.	Observations of OL Report	Reply of Petitioner Companies
i.	Pending Litigations: As per information provided by the Transferor Companies 3, 4 and Demerged Company, litigations with the Income Tax Authority, GST cases, VAT cases and other cases are pending in different Court of law	The sanctioning of the scheme will not in any manner affect the pending assessment proceedings. The sanctioning of the scheme ipso facto would not grant any immunity to any Petitioner Companies involved in the Scheme qua any liability including tax liabilities that may be imposed under the relevant provisions of Income Tax Act or any statute, in accordance with law. The statutory authorities

<table>
<tr><th>S. N.</th><th>Observations of OL Report</th><th>Reply of Petitioner Companies</th></tr>
<tr><td></td><td></td><td>have all the rights to proceed against any of the Petitioner Companies involved in the Scheme in accordance with the provisions of the applicable laws.</td></tr>
<tr><td>ii.</td><td>As per the Auditors report of Transferor Company No.3 as on 31.03.2023, the auditors have pointed out that the dues of Income Tax and Service Tax has not been deposited on account of any dispute, are as follows:
<table>
<tr><th>Name of the Statute</th><th>Nature of dues</th><th>Amount (Rs. in lakhs)</th><th>Period to which the amount relates</th><th>Forum where dispute is pending</th></tr>
<tr><td>Income Tax Act, 1961</td><td>Income tax and interest</td><td>2,995.15</td><td>AY 2006-07</td><td>Punjab and Haryana High Court</td></tr>
<tr><td>Income Tax Act, 1961</td><td>Income tax and interest</td><td>14,251.04</td><td>AY 2013-17 to 2017-2018</td><td>Punjab and Haryana High Court</td></tr>
<tr><td>Finance Act, 1994</td><td>Service Tax</td><td>949.37</td><td>FY 2007-08 to 2015-16</td><td>Customs Excise and Service Tax Appellate Tribunal</td></tr>
</table></td><td>The sanctioning of the Scheme will not in any manner affect the pending assessment proceedings. The sanctioning of the Scheme ipso facto would not grant any immunity to any Petitioner Companies involved in the Scheme qua any liability including tax liabilities that may be imposed under the relevant provisions of Income Tax Act or any statute, in accordance with law. Further, as the Transferee Company will continue to survive, it further undertakes to bear all the liabilities/ taxes/ demands that may arise qua the pending proceedings.</td></tr>
<tr><td>iii.</td><td>As per Auditors report of Transferor Company No.4 the Auditors have pointed out that the dues outstanding of Income Tax and Service Tax and other statutory dues that have not been deposited on account of any dispute, are as follows
<table>
<tr><th>Name of the Statute</th><th>Nature of dues</th><th>Amount (Rs. in lakhs)</th><th>Period to which the amount relates</th><th>Forum where dispute is pending</th></tr>
<tr><td>Income Tax Act, 1961</td><td>Income tax</td><td>1046.70</td><td>AY 2009-10</td><td>Commissioner of Income Tax (Appeals)</td></tr>
<tr><td>Income Tax Act, 1961</td><td>Income tax</td><td>51.99</td><td>AY 2018-19</td><td>Commissioner of Income Tax (Appeals)</td></tr>
</table></td><td>Same as reply of para ii.</td></tr>
</table>

<table>
<tr><th>S. N.</th><th>Observations of OL Report</th><th>Reply of Petitioner Companies</th></tr>
<tr><td></td><td>
<table>
<tr><td>Income Tax Act, 1961</td><td>Income tax</td><td>7.72</td><td>AY 2020-21</td><td>Commissioner of Income Tax (Appeals)</td></tr>
<tr><td>Finance Act, 1994</td><td>Service Tax</td><td>277.92</td><td>FY 2014-15 to 2017-18</td><td>Principal Commissioner Central GST, Delhi</td></tr>
<tr><td>GST Act, 2012</td><td>GST</td><td>7.04</td><td>FY 2018-19</td><td>Assistant Commissioner GST, Delhi</td></tr>
<tr><td>Delhi, MC</td><td>Electricity Tax</td><td>28.51</td><td>FY 2018-22</td><td>Commissioner South Delhi, MC</td></tr>
</table>
</td><td></td></tr>
<tr><td>iv.</td><td>As per the Auditors report of Demerged Company as on 31.03.2023 the Auditors have pointed out that the dues outstanding of Service Tax and Income Tax that have not been deposited on account of any disputes are as follows:
<table>
<tr><th>Name of the Statute</th><th>Nature of dues</th><th>Amount (Rs. in lakhs)</th><th>Period to which the amount relates</th><th>Forum where dispute is pending</th></tr>
<tr><td>Finance Act, 1994</td><td>Service Tax</td><td>2.30</td><td>FY 2012-13</td><td>Commissioner (Appeals) Service Tax, Delhi</td></tr>
<tr><td>Finance Act, 1994</td><td>Service Tax</td><td>98.44</td><td>FY 2014-15 to 2017-18</td><td>Additional Commissioner of Service Tax</td></tr>
<tr><td>Income Tax Act, 1961</td><td>Income Tax</td><td>9,335.40</td><td>AY 2017-18</td><td>Income Tax Appellate Tribunal</td></tr>
<tr><td>Income Tax Act, 1961</td><td>Income Tax</td><td>8,183.40</td><td>AY 2018-19</td><td>Income Tax Appellate Tribunal</td></tr>
<tr><td>Income Tax Act, 1961</td><td>Income Tax</td><td>16,855.43</td><td>AY 2021-22</td><td>Commissioner of Income Tax (Appeals)</td></tr>
</table>
</td><td>Same as reply of para ii.</td></tr>
<tr><td>v.</td><td>It appears from the balance sheets of Transferor Company No.2 that it) is not doing any business from the last three preceding years.</td><td>The Transferor Company No.2 is carrying on the business of real estate activities. It owns a land parcel in Gurugram and a</td></tr>
</table>

S. N.	Observations of OL Report	Reply of Petitioner Companies
		commercial project has been constructed on the said land parcel. Hence, it is in operation and is an active company and it is preparing and filing all Financial Statements and statutory documents annually as per applicable laws. It had filed its Annual Returns and Financial Statements regularly since its incorporation till the financial year ended on 31.03.2023 and there is no default in this regard.
vi.	-	Apart from above, the Petitioner Companies undertakes to comply with all applicable laws and to discharge all liabilities, as and when, the same falls due and payable in accordance with law.

12. During the course of the hearing dated 04.10.2024, Mr. Edward Augustine George, the Counsel for Official Liquidator stated that after going through the response of the Petitioner Companies, the office of OL has no objection to the Scheme.

(III) ITD

13. The Sr. Standing Counsel for the ITD filed ITD report in respect of Petitioner No. 1, 2, 4 & 5, vide Diary No. 03472/7 dated 10.07.2024 and ITD report in respect of Petitioner No. 3 & 6, vide Diary No. 03472/8 dated 11.07.2024, which were taken on record vide this Tribunal Order dated 12.07.2024. The relevant extracts of these ITD reports have been reproduced in the Table below:

<table>
<tr><th>Petitioner</th><th>ITD Reports</th></tr>
<tr><td>Petitioner No. 1/ Transferor Company No. 1: DLF City Centre Limited</td><td>In this regard, it is submitted that M/s DLF City Centre limited (Petitioner Company No.1 Transferor Company No.1) PAN AACCD9372R. The report with the respect to M/s DLF City Centre limited(Petitioner Company No.1 Transferor Company No.1) PAN - AACCD9372R. On perusing the details as per the record available on ITBA system it is found that no proceedings pending in this case and no recoverable demand is appearing on the ITBA system.

Hence , this office has no objection in the proposed amalgamation in the case of M/s DLF City Centre limited (Petitioner Company No.1 Transferor Company No.1) PAN - AACCD9372R</td></tr>
<tr><td>Petitioner No. 2/ Transferor Company No. 2: DLF Lands India Private Limited</td><td>2. In this regard, it is submitted that M/s DLF Lands Private Limited (Transferor Company No. 2) (PAN: AADCB4488K) is assessed to tax with DCIT, Circle-1(1), Gurugram. The report with respect to M/s DLF Lands Private Limited (Transferor Company No. 2) (PAN: AADCB4488K) is submitted as under:

3. Details of ITR filed by M/s DLF Lands Private Limited (Transferor Company No. 2) (PAN: AADCB4488K) is as under:
<table>
<tr><th>Sl. No.</th><th>Particulars</th><th>A.Y.</th><th>Date of Filing of Return</th><th>Gross total Income/Loss (in Rs.)</th><th>Refund/Demand (in Rs.)</th></tr>
<tr><td>1</td><td>ITR details</td><td>2018-19
2019-20
2021-22
2022-23
2023-24</td><td>29.10.2018
16.10.2019
03.02.2022
06.10.2022
30.10.2023</td><td>73,90,744
-2,36,61,318
-8,10,81,733
0
3600</td><td>0
0
23,050
50,400
60,110</td></tr>
<tr><td>2</td><td>Whether any dues are pending</td><td>A.Y.</td><td>Date of Order</td><td>Demand Outstanding
NIL</td><td>Amount Collectible
NIL</td></tr>
<tr><td>3</td><td>Whether any proceedings are pending.</td><td colspan="4">No</td></tr>
<tr><td>4</td><td>Whether transactions of disproportionate value were under taken by the company.</td><td colspan="4">Complete account of the company are not available with this office. Therefore, this office is not in a position to report on this aspect.</td></tr>
<tr><td>5</td><td>Whether huge cash deposits are found in their account.</td><td colspan="4">Complete account of the company are not available with this office. Therefore, this office is not in a position to report on this aspect.</td></tr>
<tr><td>6</td><td>Whether company's bank accounts have been used for money laundering and tax evasion.</td><td colspan="4">Complete account of the company are not available with this office. Therefore, this office is not in a position to report on this aspect</td></tr>
</table>
4. In view of above, as per details available on the ITBA system as on date, it is seen that the assessee company M/s DLF Lands Private Limited (Transferor Company No. 2) (PAN: AADCB4488K) has no outstanding demand at present.

5. Further, if upon coming in to effect of this scheme of amalgamation, the Hon'ble National Company Law Tribunal may kindly direct that :

All the compliances under the Income Tax Act, 1961 shall be made by the Transferee Company or resultant company after the appointed date. All the tax liabilities and all the pending appeals and proceedings under the Income Tax Act shall be enforced and continued against the Transferee Company.</td></tr>
</table>

Petitioner	ITD Reports
Petitioner No. 3/ Transferor Company No. 3: DLF Info City Developers (Kolkata) Limited	

2. In this regard, it is submitted that M/s DLF Info City Developers (Kolkata) Limited PAN: AABCD9621N (the company), 3rd Floor, Shopping Mall Complex, Arjun Marg, DLF City Phase-1, Gurugram having PAN AABCD9621N and is assessed to tax with ward-1(4), Gurugram. The report with respect to M/s DLF Info City Developers (Kolkata) Limited PAN: AABCD9621N, is submitted as under:-

(i). Details of ITR filed by the company:-

Sl. No.	Particulars	A.Y,	Date of Filing of Return	Return of Income (in Rs.)	Deemed Income (in Rs.)	Refund (In Rs.)
1.	Details of ITR filed by the company	2023-24	20.10.2023	25,94,27,680	36,15,68,451	5,45,460
		2022-23	17.10.2022	20,36,25,880	22,33,09,783	1,01,20,210
		2021-22	07.03.2022	79,67,100	21,46,45,126	50,19,510
		2020-21	08.02.2021	10,02,24,260	506815602	13226300
		2019-20	30.10.2019	56,69,94,951	56,61,55,548	4,820
		2018-19	31.10.2018	12,48,62,240	NIL	62,64,090
		2017-18	02.11.2017	7,69,02,250	NIL	1,87,92,950
		2016-17	15.10.2016	6,20,19,660	NIL	1,85,00,030
		2015-16	30.11.2015	5,59,52,730	NIL	3,60,64,510
2.	Whether any dues are pending			As per ITBA Recovery module, no dues are pending in this case.		
3.	Whether any proceedings are pending	As per data available on ITBA System, no proceedings in the case are pending with this office i.e. Jurisdiction Ward-1(4), Gurugram.				
4.	Whether transaction of disproportionate value were under taken by the company	As per the details available on e-filing portal, in accordance with the latest ITR filed by the assessee for the AY 2023-24, it is noticed that the company had shown total value of assets of NIL and long term borrowings of Rs. NIL. Gross receipts of the company was NIL. Similarly, for the AY 2022-23, total assets of the company was Rs. NIL and long term borrowings was Rs. NIL. Gross receipts of the company was NIL.				
5.	Whether huge cash deposits are found in their account	As per 360 degree, this office cannot access these details as no case is selected in scrutiny or AIMS in this case.				

Petitioner	ITD Reports
	b. Whether company's bank accounts have been used for money laundering and tax evasion In view of above discussion, this office has no objection to the proposal.
Petitioner No. 4/ Transferor Company No. 4: DLF Emporio Limited	3. On perusal of the PAN jurisdiction of the above companies, it is found that the jurisdiction of companies M/s DLF Emporio Ltd DLF Asset Ltd i.e the transferor companies, currently lies with the undersigned. 4. In this regard, it is stated that as per information available on ITD ITBA CPC portal of the department, following demands are pending in respect of transferor companies:
Petitioner No. 5/ Demerged Company: DLF Assets Limited	a) M/s Dlf Emporio Ltd, PAN: AACCR0093B

S.No.	AY	DIN	Demand Section	Date of Order	Demand Outstanding (In Rs.)	Amount Difficult to recover (In Rs.)	Amount Collectible (In Rs.)
1	2010-11	20132010100043 12741c	154	19/7/2013	4,78,000	4,78,000	0
2	2012-13	20212012404063 59966c	143(3) R.w.s 254	28/09/2021	39,00,890	39,00,890	0
3	2014-15	20162014100038 05043c	143(3)	31/08/2016	7,39,200	7,39,200	0
4	2015-16	20172015101596 55234c	143(3)	20/12/2017	1,32,66,590	1,32,66,590	0
5	2017-18	20192017370874 96174c	143(3)	27/12/2019	82,83,560		82,83,560
6	2017-18	20192017370874 96174c	143(3)	27/12/2019	1,20,21,990	1,20,21,990	0
7	2018-19	20202018370264 22006c	143(3)	08/03/2021	37,89,580	37,89,580	0
8	2022-23	20222022371526 63804c	143(1a)	02/03/2023	19,62,110		19,62,110

On perusal of the demand status, it is found out of 8 demands, only 02 demands mentioned at Sr. No. 5 for A.Y. 2017-18 and Sr. No. 8 for A.Y. 2022-23 are collectible against which the assessee has filed applications for rectification dated 17.1.2020 and 06.03.2023 respectively.

b) M/s DLF Asset Ltd, PAN AACCD4923A

S.No.	AY	Demand Section	Date of Order	Demand Outstanding	Remarks
1	2020-21	143(3)	8.11.2023	2,28,61,38,460/-	This demand has been reduced to Nil after passing of rectification order dated 12.01.2024 U/s 154/143(3) of the Act.

Further it is stated that set aside proceedings U/s 143 r.w.s 263 of the Act in case of M/s DLF Asset Ltd, PAN AACCD4923A is pending for AY 2018-19. True copy

<table>
<tr><th>Petitioner</th><th>ITD Reports</th></tr>
<tr><td></td><td>5. In view of the above facts and circumstances of the case, it is stated that Department has no objection to the scheme of amalgamation of companies M/s DLF Emporio Ltd (Transferor Company) and SEZ undertakings of M/s DLF Asset Ltd (Transferor Company) into M/s DLF Cyber City Developers Ltd (Transferee Company) subject to the condition that in case of any demand payable by or refund due to the transferor company M/s DLF Emporio Ltd shall be payable by or refundable to M/s DLF Cyber City Developers Ltd (Transferee Company) after disposal of rectification application filed by the assessee and the same is also applicable in the case of M/s DLF Asset Ltd, PAN AACCD4923Afor outcome of set aside proceedings for AY 2018-19.</td></tr>
<tr><td>Petitioner No. 6/ Transferee Company: DLF Cyber City Developers Limited</td><td>2. In this regard, it is submitted that M/s DLF Cyber City Developers Limited (Petitioner Company No. 6/Transferee Company) (PAN: AACCD3572H) is assessed to tax with DCIT, Circle-1(1), Gurugram. The report with respect to M/s DLF Cyber City Developers Limited (Petitioner Company No. 6/Transferee Company) (PAN: AACCD3572H) is submitted as under:

3. Details of ITR filed by M/s DLF Cyber City Developers Limited (Petitioner Company No. 6/Transferee Company) (PAN: AACCD3572H) is as under:

<table>
<tr><th>Sl. No.</th><th>Particulars</th><th>A.Y.</th><th>Date of Filing of Return</th><th>Gross total Income/Loss (in Rs.)</th><th>Refund/Demand (in Rs.)</th></tr>
<tr><td></td><td></td><td>2020-21</td><td>16.10.2019</td><td>212,88,71,780</td><td>-205428</td></tr>
<tr><td></td><td></td><td>2021-22</td><td>15.03.2022</td><td>164,20,79,330</td><td>(-) 13,97,02,840</td></tr>
<tr><td></td><td></td><td>2022-23</td><td>03.11.2022</td><td>348,34,42,918</td><td>(-) 1,17,74,580</td></tr>
<tr><td></td><td></td><td>2023-24</td><td>30.10.2023</td><td>501,61,73,140</td><td>(-) 15,27,02,640</td></tr>
<tr><td>2</td><td>Whether any dues are pending</td><td>A.Y.</td><td>Date of Order</td><td>Demand Outstanding</td><td>Amount Collectible</td></tr>
<tr><td></td><td></td><td>2022-23</td><td>21.03.2024</td><td>38,21,840</td><td>38,21,840</td></tr>
<tr><td>3</td><td>Whether any proceedings are pending.</td><td colspan="4">Appeal pending against rectification order u/s 154 of the Act.</td></tr>
<tr><td>4</td><td>Whether transactions of disproportionate value were under taken by the company.</td><td colspan="4">Complete account of the company are not available with this office. Therefore, this office is not in a position to report on this aspect.</td></tr>
<tr><td>5</td><td>Whether huge cash deposits are found in their account.</td><td colspan="4">Complete account of the company are not available with this office. Therefore, this office is not in a position to report on this aspect.</td></tr>
<tr><td>6</td><td>Whether company's bank accounts have been used for money laundering and tax evasion.</td><td colspan="4">Complete account of the company are not available with this office. Therefore, this office is not in a position to report on this aspect</td></tr>
</table>
4. In view of above, as per details available on the ITBA system as on date, it is seen that the assessee company M/s DLF Cyber City Developers Limited (Petitioner Company No. 6/Transferee Company) (PAN: AACCD3572H) has outstanding demand of Rs. 38,21,840 for the A.Y. 2022-23. Hence, scheme of arrangement may be kept in abeyance subject to deposit of outstanding demand of the Income Tax Department.

5. Further, if upon coming in to effect of this scheme of amalgamation, the Hon'ble National Company Law Tribunal may kindly direct that :

All the compliances under the Income Tax Act, 1961 shall be made by the Transferee Company or resultant company after the appointed date. All the tax liabilities and all the pending appeals and proceedings under the Income Tax Act shall be enforced and continued against the Transferee Company.</td></tr>
</table>

14. In respect of Petitioner No. 4 and 5, the same report has also been received by post from Deputy Commissioner of ITD, New Delhi vide Special Diary No. 93 dated 13.05.2024.

15. In respect of Petitioner No. 3, the report dated 25.04.2024 has also been received by post from Income Tax Officer, Ward1(4), ITD, New Delhi vide Special Diary No. 149 dated 03.06.2024. It is noted that the report dated 22.04.2024 of Income Tax Officer, Ward1(4), ITD, New Delhi was filed by Sr. Standing Counsel for the ITD vide Diary No. 03472/8 dated 11.07.2024 and the content of the report dated 25.04.2024 is same except para 2, which is reproduced below:

> "As per data available on the ITBA system, the outstanding demand of Rs.37,74,51,568/- is pending for A.Y.s 2013-14 to 2017-18 in this case. However, Ld. CIT(A), NAFC had been allowed the Appeal in favour of the assesse and after giving the appeal effect, the said outstanding demand will be reduced to Nil.

16. The Petitioner Companies, vide Diary No. 03472/9 dated 06.08.2024, filed reply dated 03.08.2024 to the ITD reports filed vide diary no. 03472/7 dated 10.07.2024 & 03472/8 dated 11.07.2024, which were taken on record vide this Tribunal Order dated 12.07.2024. It is stated by the Petitioner Companies that:

(i) The concerned Income Tax Authorities for Petitioner No. 1 has given a clear 'No Objection' for the proposed merger of the Petitioner No. 1 with Transferee Company.

(ii) The Income Tax Authority for the Petitioner No. 2 in their report has stated that they have 'No Objection' to the Scheme with the direction by the NCLT to Transferee Company to bear all the tax

liabilities and all the pending appeals and proceedings under the Income Tax Act shall be enforced and continued against the Transferee Company.

(iii) The Income Tax Authority for the Petitioner No. 3 has given a clear 'No Objection' for the proposed merger of the Petitioner No. 3 with Transferee Company.

(iv) The Income Tax Authorities for the Petitioner Nos. 4 and 5 (pertaining to Demerged Undertakings only) in their report have stated that they have 'No Objection' to the Scheme, subject to the condition that in case any demand payable by or refund due to Petitioner Nos. 4 and 5 (pertaining to Demerged Undertakings only) shall be payable by or refundable to the Transferee Company.

(v) The Income Tax Authority for Transferee Company in its report have stated that they have 'No Objection' to the Scheme, subject to a direction that the Transferee Company will comply with the provisions of the Income Tax Act after the appointed date and shall bear to pay all tax liabilities and all pending appeals and proceedings under the Income Tax Act shall be continued and enforced against the Transferee Company.

(vi) The sanctioning of the Scheme will not in any manner affect the pending assessment proceedings and ipso facto would not grant any immunity to any Petitioner Companies involved in the present Scheme qua any liabilities including tax liabilities that may be imposed under the relevant provisions of Income Tax Act or any

other statute, in accordance with law. Further, as per Clause 24 of the scheme, the Transferee Company and/ or the Demerged Company, shall bear the burden and the benefits of any demand, legal or other proceedings in accordance with law and, therefore; the interest of the revenue would not be affected at all. Further, the Transferee Company undertakes on behalf of all the Transferor Companies and the Demerged Company pertaining to the Demerged Undertakings, involved in the present Scheme, to discharge/ take care of all liabilities/ proceedings including income tax demands/ liabilities/ proceedings, if any, in accordance with law.

(vii) Apart from the above, the Transferee Company undertakes to comply with all applicable laws and to discharge all liabilities, as and when same falls due and payable in accordance with law.

17. During the course of hearing dated 04.10.2024, Mr. Varun Issar, the Ld. Senior Standing Counsel for the ITD submitted that the Petitioner No. 6 has outstanding dues of Rs.38,21,840/- for the assessment year 2022-23, which should be paid before approval of the Scheme. The Ld. Counsel for the Petitioner Companies stated that although the reply has been filed but on perusal, it was noted that the submission of ITD has not correctly been mentioned in that. The Counsel for the Petitioner Companies prayed for time to file an affidavit with correct facts and the same was granted.

18. Subsequently, the Petitioner Companies filed affidavit dated 02.11.2024, vide Diary No. 03472/14 dated 04.11.2024 stating as below:

(i) The Transferee Company has filed a rectification application before the jurisdictional Assessing Officer on 19.04.2024, which has been duly received and acknowledged by the Assessing Officer on 22.04.2024. The proceeding with respect to the said outstanding demand of the ITD amounting to Rs.38,21,840/- is pending adjudication before the appropriate authority. Further, the Transferee Company undertakes to bear the liability to pay the outstanding dues of the ITD, in accordance with law, and, therefore, the interest of the ITD would not be affected at all.

(ii) The Transferee Company undertakes on behalf of all the Transferor Companies and the Demerged Company pertaining to the Demerged Undertakings, involved in the Scheme, to discharge/ take care of all liabilities/ proceedings including income tax demands/ liabilities/ proceedings, if any, in accordance with law. An undertaking has also been given by the Petitioner Companies under Clause 24 of the Scheme, which reads as under:

> "24. The Scheme shall not be deemed to exempt the Companies involved in the present Scheme from any taxes, liabilities, charges to be imposed/ levied in accordance with law and the same shall be paid/ discharged by the Demerged Company or/ and Transferee Company in accordance with law. The sanctioning the Scheme ipso facto would not grant any immunity qua any liabilities that may be imposed on it under the relevant provisions of IT Act or any other statute, in accordance with law. The Transferee Company shall comply with all the applicable provisions of the IT Act, all other Applicable Laws and to discharge all liabilities including the liabilities of the Transferor Companies and the Demerged Company pertaining to the Demerged Undertakings, as and when same falls due and payable in accordance with law."

19. In view of the above undertakings given by the Transferee Company and/ or the Demerged Company and clause 24 in the Scheme, we consider it appropriate to proceed further in the matter.

(IV) HRERA and Other RERAs

20. It was noted from the Schedule I of the Scheme that the Transferor Company No.3 have projects in North 24 Pargana District in West Bengal State and Transferor Company No.4 have projects in Vasant Kunj, New Delhi, Delhi State and no reason/ clarification was available in the Petition for non-issuance of the notice to RERAs of the respective States. In view of the above, this Tribunal Order dated 01.03.2024 directed to issue the notice to HRERA and such other RERAs, where the projects of the Petitioner Companies are located.

21. In compliance of this Tribunal vide Order dated 01.03.2024, the Petitioner Companies filed affidavit dated 25.04.2024, vide Diary No. 03472/01 dated 01.05.2024 stating that:

(i) With respect to the said projects of the Transferor Companies, which are situated in States other than the State of Haryana, the Transferor Companies No. 3 and 4 have received Completion/ Occupancy Certificate prior to the commencement of the RERA Act, 2016. Thus, the provisions of RERA do not apply on the said projects of the Transferor Companies 3 and 4. Further, in compliance of order dated 01.03.2024, due notice of the present Petition has been served on the respective RERAs, where all the projects of the Petitioner Companies are located.

(ii) As per the directions of this Tribunal order dated 1.03.2024, the Transferee Company had served notice on the HRERA, Gurugram along with a copy of the Petition on 06.03.2024, which was duly received by HRERA, Gurugram.

(iii) Subsequently, the Petitioner Companies filed affidavit dated 08.08.2024 filed vide Diary No. 03472/12 dated 09.08.2024 stating that the Petitioner Companies No. 1 to 6, neither had nor currently have any project registered with HRERA Gurugram and hence no 'NoC'/ no objection from the HRERA Gurugram is required for the purposes of the sanctioning of the Scheme. It was only out of the directions issued by this Tribunal vide order dated 01.03.2024 and for abundant caution that the Transferee Company served notice upon HRERA Gurugram.

(iv) It is noted from the Audited Financial Statements as on 31.03.2024 of the Petitioner Companies that some of the Petitioner Companies are undertaking construction activities/ developing land parcel in Haryana. for which the External Development and other charges have been paid/ payable to Directorate of Town Country & Planning, Haryana (hereinafter referred to as the "**DTCP**").

(v) However, in view of the submission of the Petitioner Companies, it is clarified that the approval of the Scheme would not be deemed as approval of the DTCP/ HRERA/ other RERAs and same should be subject to compliance of all the provisions of the relevant Act,

Rules, Regulations etc. and payment of prescribed fee/ penalty etc. by the Petitioner Companies.

(V) Securities and Exchange Board of India/ BSE

22. The Petitioner Companies filed affidavit dated 08.08.2024 filed vide Diary No. 03472/12 dated 09.08.2024 stating that the Transferee Company has served notice on the BSE on 6.03.2024, which was duly received by the BSE. Further, in compliance of Regulation 59A of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 read with SEBI Circular No. SEBI/HO/DDHS/DDHS-RACPOD1/P/CIR/2022/170 dated 09.12.2022, the Transferee Company had already intimated the BSE by filing the draft Scheme at the time of filing of the Petition and neither the Transferee Company nor the Counsel for the Petitioner Companies have received any objection from BSE. The copy of the letter/ acknowledgement of submission of documents with BSE as well dissemination as appearing on the website of stock exchange are annexed herewith as Annexure A-4 (Colly). The email dated 20.03.2023 from Assistant Manager, Listing Operations, BSE to DLF is reproduced below:

Shreyasi Srivastava

From: Tanmayi Lele <tanmayi.lele@bseindia.com>
Sent: 20 March 2023 11:54
To: Amanpreet Kaur Sidhu
Cc: PANKAJ VIRMANI; SAHOO, DEBARAJ; Geetanjali Sharma; Shreyasi Srivastava
Subject: RE: DLF Cyber City Developers Limited_Disclosure of the Composite Scheme of Arrangement

Caution!!! Mail received from external domain , Please do not open the mail /Link /attachment unless you recognize the sender...

Dear Team,

The documents related to The Composite Scheme of Arrangement ('Scheme') involving (a) Merger/ amalgamation of DLF City Centre Limited, DLF Lands India Private Limited, DLF Info City Developers (Kolkata) Limited, DLF Emporio Limited (Transferor Companies-wholly-owned subsidiaries of the Transferee Company); and (b) Demerger and vesting of three SEZ undertakings (situated at Silokhera, Hyderabad and Chennai) of DLF Assets Limited (Demerged Company- Wholly Owned subsidiary of the Transferee Company) into DLF Cyber City Developers Limited (Transferee Company/ Resulting Company) are uploaded on the following link:

https://www.bseindia.com/corporates/NCUnder.aspx

Regards,
Tanmayi Lele
Assistant Manager
Listing Operations

BSE Limited, MUMBAI
Mobile : 9833654806

23. During the course of hearing on 04.10.2024, it was noted that the notice may also be required to be issued to the Securities and Exchange Board of India (hereinafter referred to as the "**SEBI**") in terms of Section 230(5) of the Companies Act 2013, as some of the Petitioner Companies are listed. Ld. Counsel for the Petitioner Companies sought date for clarification on the above issues.

24. In compliance with the above, the Petitioner Companies filed affidavit vide Diary No. 03472/14 dated 04.11.2024 stating that as the Transferee Company is only debt listed entity, the requirement of NOC from BSE is not applicable. In this regard, the Petitioner Companies have relied on the SEBI Circular No. SEBI/HO/DDHS/DDHS-RACPODI/P/CIR/2022/170 dated 09.12.2022, which has been annexed with affidavit as Annexure A-4 (Colly.). The relevant extract of the above circular is reproduced below:

> 1. This has reference to Circular no. SEBI/HO/DDHS/DDHS-RACPOD1/P/CIR/2022/156 dated November 17, 2022 on "*Scheme(s) of Arrangement by entities who have listed their Non-convertible Debt securities (NCDs)/ Non-convertible Redeemable Preference shares (NCRPS)*"
>
> 2. In this regard, it is clarified that the provisions of the aforementioned circular shall not apply to a Scheme of Arrangement which solely provides for an arrangement between a debt listed entity and its unlisted wholly owned subsidiary. However, such debt listed entity shall file the draft Scheme of Arrangement with Stock Exchange(s) for the purpose of disclosure and the Stock Exchange(s) shall disseminate the scheme documents on their websites.

25. It is noted that the SEBI issued above Circular in regard to clarification to its previous Circular No. SEBI/HO/DDHS/DDHS-RACPOD1/P/CIR/2022/156 dated 17.11.2022 in respect of Scheme(s) of Arrangement by entities, which have listed their Non-Convertible Debt Securities/ Non-Convertible Redeemable Preference Shares, commonly

referred to as "debt listed entities". The SEBI clarified that the provisions of the Circular, as mentioned above, are not to be applicable to the "Scheme of Arrangement" that solely provides for an arrangement between the debt-listed entity along with its wholly-owned subsidiary. Although, such debt listed entity needs to file the draft Scheme of Arrangement with Stock Exchanges for disclosure, and the Stock Exchanges are to disseminate the scheme documents on their website.

26. It is further submitted in the affidavit that the Petitioner Companies had served notices on the BSE and copy of the notice to the BSE along with original dispatch proofs have already been annexed at Annexure A-2 in the Affidavit dated 01.05.2024 filed vide Diary No. 03472/01, which has already been taken on record by this Tribunal vide order dated 12.07.2024. The copy of email dated 07.03.2024 and notice to BSE along with dispatch speed post receipts and their tracking reports/ acknowledgement of delivery have been annexed with the affidavit as Annexure A-6 (Colly.). The Transferee Company has again served notice of the Petition on BSE on 25.10.2024, which was duly received by the BSE and the copy of the notice served by the Transferee Company on BSE, along with tracking report annexed have been with the affidavit as Annexure A-7 (Colly.).

27. In view of the above submission of the Petitioner Companies, we consider it appropriate proceed further in the matter.

(VI) SEZ

28. It is noted that the Demerged Company has four SEZ undertakings in the IT/ ITES i.e. Cyber City SEZ Gurugram, Silokhera SEZ, Hyderabad SEZ

and Chennai SEZ of which the Demerged Company is a co-developer. Out of above four SEZ undertakings, it is proposed to demerge three SEZ undertakings namely Silokhera SEZ, Hyderabad SEZ and Chennai SEZ into the Transferee Company leaving with Cyber City SEZ Gurugram with the Demerged Company.

MPEZ

29. The Petitioner Companies filed affidavit dated 08.08.2024 vide Diary No. 03472/12 dated 09.08.2024 stating that Petitioner Company No. 5 has issued notice(s) to the MPEZ on 06.03.2024, which were duly received by it and the copies of the email dated 22.03.2023 received from the MPEZ has been annexed with the compliance affidavit as Annexure A-3 (colly). It is noted that the Assistant Development Commissioner, MPEZ, vide its email dated 22.03.2023, referring to the request received for transfer of co-developer LOA from DLF Assets Limited to DLF Cybercity Developer Limited has taken on record the fact of filing the Scheme in NCLT Chandigarh and has requested to submit the copy of NCLT order for placing in the UAC meeting. The aforesaid email is reproduced below:

From: Subash K <adc3@mepz.gov.in>
Sent: 22 March 2023 16:45
To: JAGADEESAN, V <jagadeesan-v@dlf.in>
Cc: Balasubramanian P <ddc1@mepz.gov.in>
Subject: In-Principle Approval for transfer of CoDeveloper LOA from DLF Assets Limited to DLF CyberCity Developers Limited.

Dear Sir,

We have received your request for transfer of Co-Developer LOA from DLF Assets Limited to DLF CyberCity Developers Limited. In this regard it is noticed that you have filed the Composite Scheme of Arrangement in NCLT, Chandigarh Bench. We take the same on record.
You are requested to submit the Copy of NCLT Order once you receive and further to that the same will be placed in UAC meeting.

Thanks & Regards,
SUBASH.K
Assistant Development Commissioner,
MEPZ Special Economic Zone, Administrative Building,
GST Road, Tambaram, Chennai
Tamil Nadu, India - 600045
Mobile: +91 9600655974
https://www.mepz.gov.in/

VSEZ

30. The Petitioner Companies filed compliance affidavit dated 08.08.2024 vide Diary No. 03472/12 dated 09.08.2024 stating that Petitioner Company No. 5 has issued notice(s) to the VSEZ on 06.03.2024, which were duly received by it and the copies of the letter/ email received from the MPEZ has been annexed with the compliance affidavit as Annexure A-3 (colly). It is noted that the Dy. Development Commissioner, VSEZ, vide its letter dated 23.03.2023 has taken on record the information received and requested to submit the NCLT order and other relevant documents for placing in the UAC meeting. The aforesaid email is reproduced below:

From: kaligotla srinivasu <kaligotlasrinivasu@yahoo.com>
Date: 23 March 2023 at 6:57:46 PM IST
To: "SRINIVASULU, DODLA" <srinivasulu-dodla@dlf.in>
Subject: Re: DLF Assets Limited - De-Merger request for in-principal approval

Caution!!! Mail received from external domain , Please do not open the mail /Link /attachment unless you recognize the sender...

Dear Shri Srinivasulu
Information submitted has been taken on record. Please submit the NCLT Order alongwith the other relevant documents for placing it in UAC meeting.

K. SRINIVASU
Dy Development Commissioner
VSEZ, Hyderabad.

NSEZ

31. The Petitioner Companies filed compliance affidavit dated 08.08.2024 vide Diary No. 03472/12 dated 09.08.2024 stating that Petitioner Company No. 5 has issued notice(s) to the NSEZ on 06.03.2024, which were duly received by it and the copies of the letter/ email received from the NSEZ has been annexed with the compliance affidavit as Annexure A-3 (colly). It is noted that the Dy. Development Commissioner, NSEZ, vide its letter dated

22.05.2023 addressed to DLF Assets Limited referring to DLF Assets Limited letter dated 16.03.2023, 17.04.2023 and 26.01.2023 has informed that the Approval Committee in the meeting held on 05.04.2023 has granted in-principle approval to the proposal of the DLF Assets Limited for transfer of Co-developer LOA dated 07.05.2007, as amended in respect of DLF Limited to DLF Cyber City Developer Limited subject to compliance of the terms & conditions prescribed in Instruction No. 109 dated 18.10.2021 and has informed that the Approval Committee has decided that the formal approval shall be issued only after receipt of certified copy of the NCLT Order approving the Composite Scheme of Arrangement. The aforesaid letter is reproduced below:

10/93/2007-SEZ/DLFL / 4036
22/5/2023

I/46487/2023

भारत सरकार
वाणिज्य एवं उद्योग मंत्रालय ,वाणिज्य विभाग
विकास आयुक्त का कार्यालय
नौएडा विशेष आर्थिक क्षेत्र
नौएडा दादरी रोड, फेज-II, नौएडा – 201305
टेलीफोन: 0120-2567268/69/70 ईमेल: dc@nsez.gov.in
वेबसाइट: www.nsez.gov.in

To,

M/s. DLF Assets Ltd, Co-developer
1-E, Jhandewalan Extension
Naaz Cinema Complex,
New Delhi – 110055.

S u b : In-principle approval for transfer of Co-developer LOA No. F.2/137/2005-EPZ dated 07.05.2007 to M/s. DLF Cyber City Developers Ltd. in terms of the composite Scheme of Arrangement filed in NCLT, Chandigarh Bench- Reg.

Sir,

I am directed to refer to your letter dated 16.03.2023 & subsequent letter dated 17.04.2023 & 26.01.2023 on the subject cited above and to inform that the Approval Committee in its meeting held on 05.04.2023 has granted in-principle approval to your proposal for transfer of Co-developer LOA No. F.2/137/2005-EPZ dated 07.05.2007, as amended, in respect of DLF Ltd. IT/ITES SEZ located at Village Silokhera, Sector 30, Gurugram (Haryana), to M/s. DLF Cyber City Developers Ltd. in terms of Instruction No. 109 dated 18.10.2021, subject to compliance of terms & conditions prescribed in Instruction No. 109 dated 18.10.2021.

2 . The Approval Committee has decided that the formal approval shall be issued only after receipt of certified copy of Hon'ble NCLT order approving the proposed composite Scheme of Arrangement.

भवदीय,
(राजेश कुमार)
उप विकास आयुक्त

32. Since no report/ representation has been received from the MPEZ, VSEZ and NSEZ even after the notice dated 06.03.2024, we consider it appropriate

to proceed further in the matter, subject to approval of applicable SEZs, where the SEZ undertakings of the Demerged Company are located, to the Scheme after compliance of all the provisions of the relevant Act, Rules, Regulations etc. and payment of prescribed fee/ penalty etc. by the Petitioner Companies.

(IX) Competition Commission of India

33. The Petitioner Companies at para 66 of the Petition have submitted affidavits that they are not required to serve the notice to the Competition Commission of India (hereinafter referred to as the "**CCI**"), as 100% shares or voting rights of the Transferor Companies are exercised directly or indirectly by the Transferee Company, and hence falls within the exemption provided under clause (9) of Schedule I of the CCI (Procedure in regard to the transaction of business relating to combination) Regulations, 2011. The said affidavits have been attached as Annexure A-32 (Colly.) with the Petition.

(IX) Other Sectoral Regulator

34. The Petitioner Companies filed an affidavit dated 08.08.2024 vide Diary No. 03472/12 dated 09.08.2024 stating that the Petitioner Companies are not governed by any other sectoral regulators or statutory authorities, which are likely to be affected by the present Scheme.

(X) All government authorities, to whom any statutory dues or development charges are payable as per books of accounts of the Petitioner Companies

35. This Tribunal vide order dated 01.03.2024 directed the Petitioner Companies to issue notice to the Government Authorities, to whom any statutory dues or development charges as per the books of account of the Petitioner Companies are payable. In compliance of this Tribunal Order dated 01.03.2024, the Petitioner Companies filed an affidavit dated 08.08.2024 filed vide Diary No. 03472/12 dated 09.08.2024 stating that the Petitioner Companies have obtained certificates dated 07.08.2024 from Prem Arun Jain & Co., Chartered Accountants, annexed with the affidavit as Annexure A-5 (Colly), certifying the statutory dues of the Petitioner Companies as at 31.03.2024, which has been subsequently settled up till due date as per law. The Petitioner Companies, vide Diary No. 03472/13 dated 17.09.2024, also filed copies of audited financial statements of all the Petitioner Companies as on 31.03.2024, which was taken on record vide order dated 04.10.2024. The statutory dues payable as per the audited balance sheets of the Petitioner Companies as on 31.03.2024 and as per the certificate dated 07.08.2024 are reproduced below:

<table>
<tr><th>Balance Sheet</th><th>Certificate dated 07.08.2024</th></tr>
<tr><td colspan="2">Petitioner No. 1/ Transferor Company No. 1: DLF City Centre Limited</td></tr>
<tr><td>Rs.581.39 lakh (Ref. Note No. 22: Other current liabilities -Statutory dues payable)</td><td>This is to certify that the Statutory dues of Rs. 4,95,00,086/- (Four Crores Ninety Five Lacs Eighty Six Rupees Only) that were pending deposition as on March 31,2024 have been subsequently settled up till the date of signing of this Certificate in accordance with the applicable due dates.

The details duly confirmed by the management of the Company are enclosed as per Annexure 1

The statutory dues included in Annexure 1 are as per the audited Financial Statements as on March 31, 2024 and do not include contingent liabilities and provisions as disclosed in these Financial Statements.
DLF City Centre Limited
<table>
<tr><th>S no.</th><th>Applicable Law</th><th>Amount of Statutory dues pending deposition as on March 31, 2024 (In INR)</th><th>Amount of Statutory dues as on March 31, 2024 subsequently settled up till due date as per law (In INR)</th></tr>
<tr><td>1.</td><td>Income Tax Act, 1961</td><td>3,50,61,321</td><td>3,50,61,321</td></tr>
<tr><td>2.</td><td>GST Act, 2017</td><td>1,44,38,765</td><td>1,44,38,765</td></tr>
<tr><td></td><td>Total</td><td>4,95,00,086</td><td>4,95,00,086</td></tr>
</table>
</td></tr>
</table>

Petitioner No. 2/ Transferor Company No. 2: DLF Lands India Private Limited

Rs.0.37 lakh (Ref. Note No. 16: Other current liabilities Statutory dues payable

This is to certify that the Statutory dues of **Rs. 36,085/-(Thirty Six Thousand and Eighty Five Rupees Only)** that were pending deposition as on March 31 ,2024 have been subsequently settled up till the date of signing of this Certificate in accordance with the applicable due dates

The details duly confirmed by the management of the Company are enclosed as per Annexure 1

The statutory dues included in Annexure 1 are as per the audited Financial Statements as on March 31, 2024 and do not include contingent liabilities and provisions as disclosed in these Financial Statements.

DLF Lands India Private Limited

S no.	Applicable Law	Amount of Statutory dues pending deposition as on March 31, 2024 (In INR)	Amount of Statutory dues as on March 31, 2024 subsequently settled up till due date as per law (In INR)
1.	Income Tax Act, 1961	36,085	36,085
	Total	**36,085**	**36,085**

Petitioner No. 3/ Transferor Company No. 3: DLF Info City Developers (Kolkata) Limited

Rs.123.33 lakh (Ref. Note No. 25: Other current liabilities -Statutory dues payable

This is to certify that the Statutory dues of **Rs. 1,23,32,593/-(One Crore Twenty Three Lakh Thirty two Thousand Five Hundred and Ninety Three Rupees Only)** that were pending deposition as on March 31 ,2024 have been subsequently settled up till the date of signing of this Certificate in accordance with the applicable due dates.

The details duly confirmed by the management of the Company are enclosed as per Annexure 1

The statutory dues included in Annexure 1 are as per the audited Financial Statements as on March 31, 2024 and do not include contingent liabilities and provisions as disclosed in these Financial Statements

DLF Info City Developers (Kolkata) Limited

S no.	Applicable Law	Amount of Statutory dues pending deposition as on March 31, 2024 (In INR)	Amount of Statutory dues as on March 31, 2024 subsequently settled up till due date as per law (In INR)
1.	Income Tax Act, 1961	6,08,783	6,08,783
2.	GST Act, 2017	1,17,23,810	1,17,23,810
	Total	**1,23,32,593**	**1,23,32,593**

Petitioner No. 4/ Transferor Company No. 4: DLF Emporio Limited

Rs.273.24 lakh (Ref. Note No. 20: Other current liabilities -Statutory dues payable

This is to certify that the Statutory dues of **Rs. 2,73,24,471/- (Two Crores Seventy Three Lacs Twenty Four Thousand Four Hundred and Seventy One Rupees Only)** that were pending deposition as on March 31 ,2024 have been subsequently settled up till the date of signing of this Certificate in accordance with the applicable due dates.

The details duly confirmed by the management of the Company are enclosed as per Annexure 1.

The statutory dues included in Annexure 1 are as per the audited Financial Statements as on March 31, 2024 and do not include contingent liabilities and provisions as disclosed in these Financial Statements.

DLF Emporio Limited

S no.	Applicable Law	Amount of Statutory dues pending deposition as on March 31, 2024 (In INR)	Amount of Statutory dues as on March 31, 2024 subsequently settled up till due date as per law (In INR)
1.	Income Tax Act 1961	15,25,842	15,25,842
2.	GST Act, 2017	2,57,98,629	2,57,98,629
	Total	**2,73,24,471**	**2,73,24,471**

Petitioner No. 5/ Demerged Company: DLF Assets Limited

Rs.389.93 lakh (Ref. Note No. 29: Other current liabilities -Statutory dues payable

This is to certify that the Statutory dues of Rs. 3,98,06,368 /- (Three Crores Ninety Eight Lacs Six Thousand Three Hundred and Sixty Eight Rupees Only) that were pending deposition as on March 31, 2024 have been subsequently settled up till the date of signing of this Certificate in accordance with the applicable due dates

The details duly confirmed by the management of the Company are enclosed as per Annexure 1

The statutory dues included in Annexure 1 are as per the audited Financial Statements as on March 31, 2024 and do not include contingent liabilities and provisions as disclosed in these Financial Statements.

DLF Assets Limited

S no.	Applicable Law	Amount of Statutory dues pending deposition as on March 31, 2024 (In INR)	Amount of Statutory dues as on March 31, 2024 subsequently settled up till due date as per law (In INR)
1.	Income Tax Act 1961	1,28,95,201	1,28,95,201
2.	GST Act, 2017	2,68,17,421	2,68,17,421
3.	Labour Wefare Fund *	93	-
4.	Provident Fund Act,1952	93,746	93,746
	Total	**3,98,06,461**	**3,98,06,368**

Petitioner No. 6/ Transferee Company: DLF Cyber City Developers Limited

Rs.4093.26 lakh (Ref. Note No. 32: Other current liabilities -Statutory dues payable

This is to certify that the Statutory dues of Rs. 38,65,78,064/- (Thirty Eight Crores Sixty Five Lacs Seventy Eighty Thousand And Sixty Four Rupees Only) that were pending deposition as on March 31 ,2024 have been subsequently settled up till the date of signing of this Certificate in accordance with the applicable due dates.

The details duly confirmed by the management of the Company are enclosed as per Annexure 1.

The statutory dues included in Annexure 1 are as per the audited Financial Statements as on March 31, 2024 and do not include contingent liabilities and provisions as disclosed in these Financial Statements.

DLF Cyber City Developers Limited

S no.	Applicable Law	Amount of Statutory dues pending deposition as on March 31, 2024 (In INR)	Amount of Statutory dues as on March 31, 2024 subsequently settled up till due date as per law (In INR)
1.	Income Tax Act, 1961	10,51,76,404	10,51,76,404
2.	GST Act, 2017	28,06,64,915	28,06,64,915
3.	Provident Fund	7,36,745	7,36,745
4.	Labour Welfare Fund #	3,711	-
	Total	**38,65,81,775**	**38,65,78,064**

36. The Petitioner Companies in affidavit dated 08.08.2024 filed vide Diary No. 03472/12 dated 09.08.2024 also stated that there are no such statutory dues or development charges, as are payable by the Petitioner Companies towards land authorities and regarding the dues of Income Tax, GST, etc., the point is covered in the separate reply cum undertaking submitted by the Petitioner Companies.

37. During the course of hearing on 04.10.2024, it was noted that as per the directions of this Tribunal, vide its order dated 01.03.2024, the notices

to the Government Authorities to whom any statutory dues or development charges as per the books of account of petitioner companies are payable, has not been issued.

38. In compliance with this Tribunal Order dated 04.10.2024, the Petitioner Companies filed affidavit dated 02.11.2024 vide diary no. 03472/14 dated 04.11.2024 stating that the Petitioner Companies No. 1, 2 and 6, which had development charges as liabilities in the balance sheet as on 31.03.2023, have paid the development charges, as depicted in the Audited balance sheet of the Petitioner Companies as on 31.03.2024. The relevant extracts of the balance sheet of Petitioner Companies No. 1, 2 and 6 are reproduced below:

Petitioner No. 1/ Transferor Company No. 1: DLF City Centre Limited:

(All amounts in ₹ lacs, unless otherwise stated)

	March 31, 2024	March 31 2023
21 Other financial liabilities (current)		
Interest accrued on borrowings	14,444.61	11,957 25
Security deposits	49,66	226 35
Capital creditors (refer note 36)	8,436,11	3,465 76
Retention money (refer note 36)	1,136,75	754 40
Development charges payable to government authorities*	-	2,775 10
	24,067.13	19,178 86

* Represents external development charges payable to Department of Town and Country Planning, Haryana carrying interest @ 12% per annum (refer note 5(ix) and (x))]

(ix) During the earlier years, as per the terms for grant of benefit under Transit Oriented Development policy, the Directorate of Town Country & Planning, Haryana ('DTCP') had demanded the Company to pay External Development Charges ("EDC") amounting to ₹ 17,978 48 lacs pertaining to for land parcels admeasuring 32 36 acres either in lumpsum or in ten half yearly instalments bearing interest of 12% per annum Accordingly, the Company had accounted for the entire liability towards EDC payable to DTCP and had capitalised the same under "Investment property- Freehold land"

(xi) The Company had an EDC liability of ₹ 2,379 15 lacs payable on September 22, 2022, on which it has provided for interest (including penal interest thereon) of ₹ 395 95 lacs till March 31, 2023 Pursuant to the notification dated September 06, 2021 issued by DTCP, group companies of DLF Limited had made an application to DTCP for adjustment of excess fees/ charges paid by them against the above EDC dues of the Company The management has been of the view that considering there is a DTCP notification and the Company (including other companies in the Group) have been able to get such adjustments from DTCP in the earlier years, the above adjustment is procedural in nature and thus, such non-payment of EDC shall not be construed as a delay in payment of statutory dues on part of the Company

During the year, the Company further provided interest (including penal interest) of ₹ 264 49 lacs During the year, DLF Lands India Private Limited (a fellow subsidiary 'DLIPL') settled EDC liability of entire land parcel of 4 acres with DLF Homes Panchkula Private Limited ('DHPPL') and DLF Cyber City Developers Limited, related parties who received orders from DTCP for adjustment of excess EDC paid and an amount of ₹ 31 57 lacs was reimbursed by the Company to DLIPL in relation to portion of land parcel owned by the Company

Further, in accordance with the orders from DTCP for adjustment of excess EDC paid, DTCP approved the adjustment of excess EDC paid by DHPPL and DLF Home Developers Limited ('DHDL'), both related parties, towards EDC charges payable by the Company amounting to ₹ 418 01 lacs and ₹ 330 00 lacs respectively Consequent to this, the Company reimbursed the amount of ₹ 376 26 lacs to DHPPL and amount of ₹ 288 75 lacs to DHDL (other than penal interest of ₹ 83 00 lacs which is not demanded by group companies) Also, the Company has made final payment amounting to ₹ 2,180 00 lacs to DTCP towards balance EDC liability and has written back excess EDC liability recorded of ₹ 163 01 lacs (also refer note 25 and 39)

Also, as per the expert opinion obtained by the management, in present case, no supply of goods or services has been made by the related parties to the Company and the above reimbursement is a transaction in money which is outside the ambit of Goods and Services Tax Basis above, no further adjustment is required in these financial statements in this regard

Petitioner No. 2/ Transferor Company No. 2: DLF Lands India Private Limited:

(All amounts in ₹ lacs, unless otherwise stated)

		March 31, 2024	March 31 2023
15	**Other financial liabilities (current)**		
	Development charges payable to government authority (refer note 4(iv))	-	214 50
	Interest accrued on borrowings (refer note 23)	74.16	55 45
		74.16	269 95

(iv) The Company had an EDC liability of ₹ 183 83 lacs payable on September 22, 2022, on which it has provided for interest (including penal interest thereon) of ₹ 30 67 lacs till March 31, 2023 Pursuant to the notification dated September 06, 2021 issued by DTCP, group companies of DLF Limited had made an application to DTCP for adjustment of excess fees/ charges paid by them against the above EDC dues of the Company The management has been of the view that considering there is a DTCP notification and the Company (including other companies in the Group) have been able to get such adjustments from DTCP in the earlier years, the above adjustment is procedural in nature and thus, such non-payment of EDC shall not be construed as a delay in payment of statutory dues on part of the Company

During the year, the Company further provided interest (including penal interest) of ₹ 7 08 lacs till June 30, 2023. In accordance with the orders dated July 7, 2023 and July 13, 2023, DTCP approved the above adjustment of excess EDC paid by DLF Homes Panchkula Private Limited ('DHPPL') and DLF Cyber City Developers Limited (the Holding Company or 'DCCDL'), both related parties, towards EDC charges payable by the Company and DLF City Centre Limited (a fellow subsidiary or 'DCCL') amounting to ₹ 52 92 lacs and ₹ 79 99 lacs respectively

Consequent to the above, the Company reimbursed the above amounts to DHPPL and DCCDL (of which an amount of ₹ 31 57 lacs was recovered from DCCL) Further, the Company had settled its EDC liability towards DTCP as per the orders amounting to ₹ 101.34 lacs and has written back excess EDC liability recorded of ₹ 120 24 lacs (also refer note 17 and 23)

Also, as per the expert opinion obtained by the management, in present case, no supply of goods or services has been made by the related parties to the Company and the above reimbursement is a transaction in money which is outside the ambit of Goods and Services Tax Basis above, no further adjustment is required in these financial statements in this regard

Petitioner No. 6/ Transferee Company: DLF Cyber City Developers Limited:

(All amounts in ₹ lacs, unless otherwise stated)

		March 31, 2024	March 31 2023
30	**Other financial liabilities**		
	Interest accrued on borrowings	13,662.24	8,560 15
	Security deposits received from tenants	47,019.16	47,323 84
	Development charges payable to government authority (refer note 5(vi)(e))	-	5,793 94
	Capital creditors (refer note 48(a))	3,607.40	2,454 95
	Other payables*	748.98	1,006 52
		65,037.78	65,139 40

(e) The Company had an EDC liability of ₹ 2,030 49 lacs. ₹ 834 26 lacs and ₹ 2,247 46 lacs payable on September 9, 2022, September 22, 2022 and March 9, 2023 respectively, on which it has provided for interest (including penal interest thereon) Pursuant to notification dated September 06, 2021 issued by DTCP, Group companies of DLF Limited had made an application to DTCP for adjustment of excess fees/ charges paid by them against the above dues of the Company The management has been of the view that considering there is a DTCP notification and the Company (including other companies in the Group) have been able to get such adjustments from DTCP in the earlier year, the above adjustment is procedural in nature and thus, such non-payment of EDC shall not be construed as a delay in payment of statutory dues on part of the Company
Accordingly, till March 31, 2023, DCCDL had not paid EDC instalments, which was due to be paid in the months of September, 2022 and March, 2023 to DTCP amounting to ₹ 5,793 94 lacs (including interest / penal interest thereon)
During the year, the Company further provided interest of ₹ 581 48 lacs In accordance with its orders dated November 20, 2023, December 7, 2023 and December 18, 2023, DTCP approved the above adjustment of excess EDC paid by DLF Homes Panchkula Private Limited ('DHPPL') and DLF Home Developers Limited ('DHDL'), both related parties, towards EDC charges payable by the Company amounting to ₹ 6,483 32 lacs (i e ₹ 5,007 00 lacs and ₹ 1,476 32 lacs respectively)
Consequent to above, the related parties demanded ₹ 6,325 31 lacs as full and final payment against its EDC liability towards DTCP and thus, the Company reimbursed the amount of ₹ 4,884 37 lacs to DHPPL and ₹ 1,440 94 lacs to DHDL, excluding penal interest accrued till the date of settlement which was not demanded by these related parties, and accordingly, outstanding penal interest has been written back to the statement of profit and loss [also refer note 34 and 53(b)]
Also, as per the expert opinion obtained by the management, in present case, no supply of goods or services has been made by the related parties to the Company and the above reimbursement is a transaction in money which is outside the ambit of Goods and Services Tax Basis above, no further adjustment is required in these standalone financial statements in this regard

39. The Petitioner Companies in affidavit dated 02.11.2024 filed vide diary no. 03472/14 dated 04.11.2024 has also stated that at the time of filing the captioned Petition, the Petitioner Companies owed certain dues to GST department, which were duly paid by the respective Petitioner Companies. However, as directed by this Tribunal vide its order dated 04.10.2024, the Petitioner Companies have issued notices to the GST department on 7.10.2024 and 8.10.2024. It is pertinent to mention herein that the addresses of the GST Department on which the above-mentioned notices have been

served were made available to the Petitioner Companies, from the GSTIN portal of the Taxpayer profile. However, some of the notices served by the Petitioner Companies on GST departments went undelivered. Thereafter, the Petitioner Companies have taken steps and served the concerned GST departments vide email. The copies of the notice(s) issued by each Petitioner Companies to the GST Departments along with the speed post receipt and the tracking report have been annexed with the Affidavit as Annexure A-2 (Colly.) and the copies of the email sent by Petitioner Companies to the concerned GST departments have been annexed with the Affidavit as Annexure A-3 (Colly.).

40. During the course of hearing dated 29.11.2024, the Petitioner Companies were directed to file an affidavit, whether any representation/objection have been received in reply to the notice to GST department on 07.10.2024 and 08.10.2024. In compliance with the above, the Petitioner Companies filed affidavit dated 10.12.2024 vide Diary No. 03472/15 dated 16.12.2024 stating that as of the date of filing the compliance affidavit, the Petitioner Companies have not received any representations/ objections from the GST department in response to the notices and/ or emails.

41. It is noted from the audited financial statements as on 31.03.2024 of the Petitioner Companies that there are contingent liabilities involving significant amount towards income tax, service tax, goods & services tax etc. However, we note that the Petitioner Companies have stated that the sanctioning of the Scheme will not in any manner affect the pending assessment proceedings

and ipso facto would not grant any immunity to any Petitioner Companies involved in the present Scheme qua any liabilities including tax liabilities that may be imposed under the relevant provisions of Income Tax Act or any other statute, in accordance with law. Further, the Transferee Company have undertaken on behalf of all the Transferor Companies and the Demerged Company pertaining to the Demerged Undertakings, involved in the present Scheme, to discharge/ take care of all liabilities/ proceedings including income tax demands/ liabilities/ proceedings, if any, in accordance with law. In view of the above, we consider to proceed in the matter.

(XI) Objection from stakeholder or general public

42. The Petitioner Companies filed an affidavit dated 08.08.2024 vide Diary No. 03472/12 dated 09.08.2024 stating that neither the Petitioner Companies nor their Counsel have received any objections relating to the present Scheme from any stakeholder or general public at large till date.

43. The Petitioner Companies have submitted at page 51 of the Petition that the accounting treatment proposed in the Scheme of Amalgamation is in conformity with the accounting standards as prescribed by the Act or the Central Government and the Certificates from the respective Statutory Auditors of the Companies on the accounting treatment, as proposed in the Scheme are attached as Annexure A-27 (Colly) of the Petition.

DIRECTIONS

44. We have heard the learned counsel for Petitioner Companies, OL, ITD and Company Prosecutor for Ld. RD/RoC and have perused the record

submitted by the Petitioner Companies as well as the Statutory Authorities carefully.

45. Subject to the Petitioner Companies complying with the requirement of various laws including the rules, and regulations, the permission is hereby granted to the Scheme of Amalgamation proposed by the Petitioner Companies under Section 230 to 232 of the Companies Act, 2013. The sanctioned Scheme of Amalgamation shall be binding on all the Petitioner Companies and their Shareholders and Creditors. The Petitioner Companies shall remain bound to comply with all the statutory requirements in accordance with law.

46. Notwithstanding the submission that no investigation is pending against the Petitioner Companies, if there is any deficiency found or, the violation committed qua any enactment, statutory rule or regulation, the sanction granted by this Tribunal will not come in the way of action being taken, albeit, in accordance with the law, against the concerned persons, directors and officials of the Petitioner Companies.

47. While approving the scheme as above, it is clarified that this order should not be construed as approval by any statutory authorities viz. HRERA, Other RERAs, DTCP, SEZs, SEBI, BSE, CCI, RBI, etc. or any sectoral regulator; or construed as an order in any way granting exemption from payment of stamp duty, taxes or any other charges or payment of fee/ penalty etc., if any, due or required in accordance with law or in respect to any permission/ compliance with any other requirement, which may be specifically required under any law. Further, the approval of the Scheme

would in no manner affect the tax treatment of the transactions under the Income Tax Act, 1961, or serve as any exemption or defense for the Petitioner Companies against Tax Treatment in accordance with the provisions of the Income Tax Act, 1961 and the rules and regulations made there under.

48. This Tribunal do further order:

(I) Upon the sanction becoming effective from the appointed date of amalgamation i.e. 01.04.2022, the Transferor Company No. 1, 2, 3 and 4 shall stand dissolved without undergoing the process of winding up;

(II) All the property, rights and powers of the Transferor Companies No. 1, 2, 3 and 4; and Demerged undertakings of the Demerged Company be transferred, without further act or deed, to the Transferee Company and accordingly, the same shall pursuant to Sections 230 & 232 of the Act, be transferred to and vested in the Transferee Company for all the estate and interest of the Transferor Companies and Demerged Undertakings of the Demerged Company, but subject nevertheless to all charges now affecting the same;

(III) All the liabilities and duties of the Transferor Companies No.1,2, 3, and 4; and Demerged Undertakings of the Demerged Company be transferred, without further act or deed, to the Transferee Company and accordingly the same shall pursuant to Sections 230 to 232 of the Act, be transferred to and become the liabilities and duties of the Transferee Company;

(IV) The authorized share capital of the Transferee Company, after the Scheme becoming effective, shall be in accordance with Section 232(3)(i) of the Companies Act, 2013 and the fee, if any, paid by the Transferor Companies No.1, 2, 3 and 4 on its authorized capital shall be set off against any fees payable by the Transferee Company on its authorized capital subsequent to this arrangement. Further, the Transferee Company shall be bound by its undertaking on behalf of all the Transferor Companies and Demerged Undertakings of the Demerged Company, involved in the present Scheme [Refer para 7(viii) of this Order];

(V) The Transferee Company shall file the revised Memorandum and Articles of Association with the concerned RoC and further make the requisite payments of the differential fee (if any) for the enhancement of authorized capital of the Transferee Company; after setting off the fees paid by the Transferor Companies;

(VI) The Transferor Company No. 1 to 4 and Demerged Company are wholly-owned subsidiaries of the Transferee Company. Therefore, the entire issued, subscribed & paid up share capital of Transferor Company Nos.1 to 4 shall be extinguished and cancelled and no shares shall be issued by the Transferee Company. Further, no new shares shall be issued by the Transferee Company in lieu of transfer of demerged undertakings of the Demerged Company and its paid up equity share capital shall stand reduced to Rs.71,93,77,940/-.

(VII) All proceedings pending, if any, by or against the Transferor Companies No.1, 2, 3 and 4 and Demerged Undertakings of the Demerged Company be continued by or against the Transferee Company;

(VIII) All the employees of the Transferor Companies No.1, 2, 3 and 4; and Demerged Undertakings of the Demerged Company shall be deemed to have become the employees and the staff of the Transferee Company with effect from the Appointed Date, and shall stand transferred to the Transferee Company without any interruption of service and on the terms and conditions no less favourable than those on which they are engaged by the Transferor Companies and Demerged Undertakings of the Demerged Company, as on the Effective Date, including in relation to the level of remuneration and contractual and statutory benefits, incentive plans, terminal benefits, gratuity plans, provident plans and any other retirement benefits;

(IX) All the tax liabilities and all the pending appeals and proceedings under the Income Tax Act, if pending against the Transferor Companies and Demerged Undertakings of the Demerged Company is transferred to the Transferee Company and shall be enforced and continued against the Transferee Company and all compliances under Income Tax Act, 1961 shall be made by Transferee Company after the Appointed Date. Further, the Income Tax department is permitted to retain its recourse for recovery in respect of demand

and any other future liabilities of the Transferor Companies and Demerged Undertakings of the Demerged Company as well as the Transferee Company, in respect of the assets sought to be transferred under the proposed scheme. The Transferee Company is also directed to discharge the outstanding demand, if any, found later against the Transferor Companies and Demerged Undertakings of the Demerged Company.

(X) Further, the Transferee Company shall be bound by its undertaking on behalf of all the Transferor Companies and Demerged Undertakings of the Demerged Company, involved in the present Scheme [Refer Para 11(ii), 16(vi), 16(vii), 18(i) and 18(ii) of this Order];

(XI) The Transferee Company will clear all the pending statutory dues, development charges, and any other charges/ fee/ penalty etc. to the DTCP, HRERA, Other RERA, SEZs and other Government authorities subject to exercising Appellate jurisdictions and as per final orders. The Scheme shall not come in the way of the statutory authorities to recover any of their dues, (Refer para 41 of this Order). All the contentions of the parties shall remain open before the relevant forum(s), where disputes are pending;

(XII) Any person interested shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary;

(XIII) As per the aforesaid directions and Form No. CAA-7 of Companies (Compromises, Arrangements and Amalgamations) Rules, 2016,

formal order be issued to the Petitioners to the filing of the Schedule of Properties within three weeks from the date of receiving the certified copy of this order.

49. The Petitioner Companies shall, within 30 days after the date of receipt of this Order, cause a certified copy of this Order to be delivered to the RoC for registration in prescribed form and on such certified copy being so delivered; the Transferor Companies No.1, 2, 3 and 4 shall be dissolved without undergoing the process of winding up. The concerned RoC shall place all documents relating to the Transferor Companies registered with him on the file relating to the said Transferee Company, and the files relating to the Transferor Companies and Transferee Company shall be consolidated accordingly, as the case may be.

50. The certified copy of this order, if applied for, be supplied to the parties, subject to compliance with all requisite formalities.

51. The Company Petition bearing number CP(CAA) No. 44/Chd/Hry/2023 is allowed, therefore, the matter stands disposed of.

Sd/-
(Umesh Kumar Shukla)
Member (Technical)

Sd/-
(Harnam Singh Thakur)
Member (Judicial)

February 19, 2025
Vansh